

Special Report

Economic Development Department Culture and Arts Funding

October 2024



We researched information to answer several questions about cultural arts grant funding and eligibility criteria in Austin. In typical years, most revenues used for cultural arts come from hotel occupancy taxes. In recent years, large infusions of City and federal money from programs initiated during the COVID-19 pandemic were allocated to fund cultural arts programs. The City collects a variety of information about applicants for funding, but did not collect some information consistently. We also looked at culture and arts programs in other cities. They appear similar, but most are managed through a separate department or office. The City of Austin has not made progress in creating a separate Department of Arts, Culture and Creativity.

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Cover: Reflect and Resound by Virginia Fleck, located in the daycare facility of Austin’s Women and Children’s Shelter

Objective

The objective of this special request was to provide the following information requested by the City Council for fiscal years 2018 through 2023 (except for question six):

- What are the revenues, expenditures, and administrative costs related to cultural arts funding?
- What are eligible expenses and criteria for cultural arts funds under federal and state law as well as City Code?
- What information does the City of Austin collect about applicants for cultural arts grant funding? What is the profile of applicants for this funding based on available information?
- What are the major changes in the City’s cultural arts program?
- What progress has City management made towards the CreateAustin Plan’s recommendation to establish a Department of Arts, Cultural and Creativity?
- Based on the current year, how do cultural arts grant-making programs in other cities compare to Austin’s, including their administrative structure, staffing, and funding?

Background

The arts, culture, and creativity are valued as vital contributors to Austin’s character, quality of life, and economy. Through culture and arts funding, the City of Austin provides support annually to local artists, area non-profit arts organizations, and creative entrepreneurs.

The funding for culture and arts programs typically comes from the City’s Hotel Occupancy Tax (HOT) revenue. According to City Code, the City allocates 15% of the City’s HOT revenue to support arts and cultural organizations. Recipients of this funding run projects and activities in Austin aimed at promoting tourism and the convention and hotel industry through the encouragement, promotion, improvement, application, and exhibition of the arts.

The Cultural Arts Division within the City’s Economic Development Department (EDD) oversees the City’s cultural arts funding. The City contracted with the Long Center and the Better Business Bureau of Austin, Texas, as third-party administrators for processing the grant agreements and payments.

What We Learned

Summary

We researched information to answer several questions about cultural arts grant funding and eligibility criteria in Austin. In typical years, most revenues used for cultural arts come from hotel occupancy taxes. In recent years, large infusions of City and federal money from programs initiated during the COVID-19 pandemic were allocated to fund cultural arts programs. The City collects a variety of information about applicants for funding, but did not collect some information consistently. We also looked at culture and arts programs in other cities. They appear similar, but most are managed through a separate department or office. The City of Austin has not made progress in creating a separate Department of Arts, Culture and Creativity.

Question 1

What are the revenues, expenditures, and administrative costs related to cultural arts funding?

Cultural arts funding revenues: According to information provided by EDD staff, the annual revenue for fiscal years 2018 through 2023 ranged between about \$9 million and \$27 million. Most revenues for the cultural arts came from Hotel Occupancy Tax (HOT), however, large infusions of City and federal money initiated during the COVID-19 pandemic were allocated to fund these programs, as well. In typical years, revenue would come mainly from HOT and a very small amount would come from interest income.

In 2021, the Coronavirus Aid, Relief, and Economic Security (CARES) Act provided \$11.3 million for cultural funding. From those funds, \$6.3 million went to fund culture and arts non-profits, and \$5 million funded mini-grants to creative sector workers and music disaster relief. These funds were administered through a third-party vendor, the Better Business Bureau of Austin, Texas.

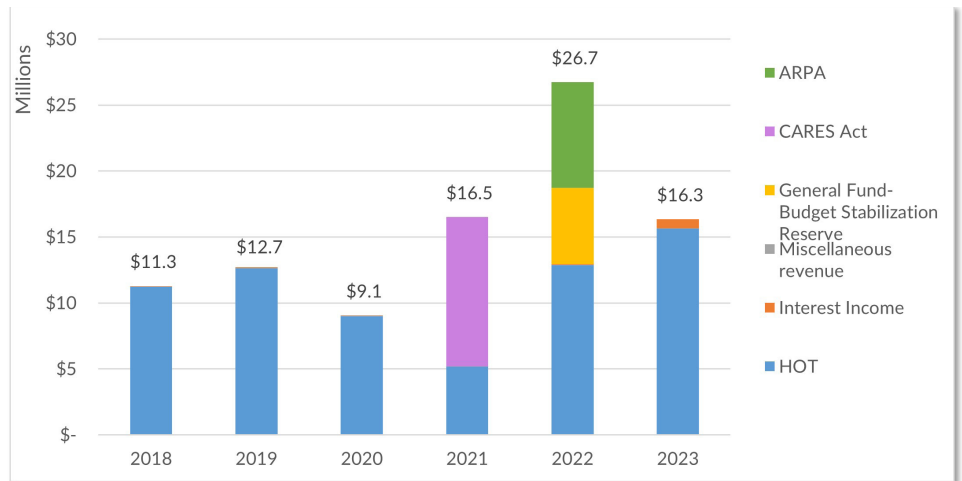
In 2022, the American Rescue Plan Act (ARPA) brought \$12 million to the City to use for other culture and arts relief. From those funds, \$6 million went to the arts, \$2 million to arts non-profit relief, and \$4 million to music.¹ The ARPA funding was administered by two entities, the Long Center and the Better Business Bureau of Austin, Texas.

In addition to emergency funds from federal sources, culture and arts programs received funding from City sources during the pandemic. In 2022, cultural programs received a total of \$5.8 million from the General Fund Budget Stabilization Reserve to shore up losses from the COVID-19 pandemic. From those funds, \$4.8 million went to cultural arts programming and \$1 million went to provide pandemic relief to culture and arts non-profits.

Before the pandemic, EDD had been allocating grant funding based on projected earnings from HOT. However, the infusion of federal funding in 2021 and 2022 allowed them to move to funding based on the prior year's HOT earnings instead of the current year's projected earnings.

¹ For the purposes of this report, we did not look at funding for music or music disaster relief.

Exhibit 1: Cultural arts revenues by source for fiscal years 2018 – 2023



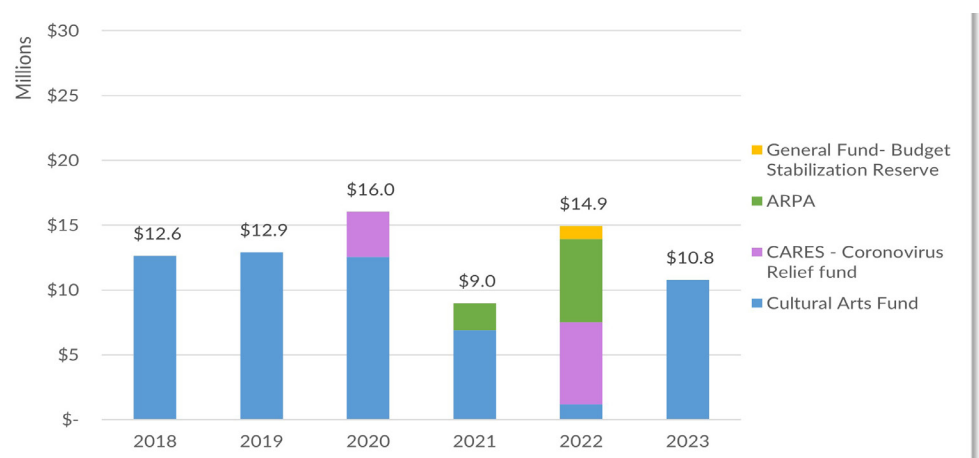
Note: The years indicate the fiscal year budget in which the funding was included.

Source: Office of the City Auditor (OCA) analysis of revenue data provided by EDD, June 2024

Cultural arts expenditures: According to information provided by EDD staff, expenditures for fiscal years 2018 through 2023 ranged between about \$9 million and \$16 million. Before the pandemic, expenditures for cultural arts came mainly from the Cultural Arts Fund which was funded by HOT revenues and a small amount of interest income.

While City Council appropriated \$4.8 million from the Budget Stabilization Reserve to the Cultural Arts Fund to account for HOT revenue losses, only \$1.18 million was paid out in 2022, with \$500,000 coming from the \$4.8 million appropriation. This \$500,000 was approved by the City Council to go towards culture and arts non-profit relief grants. An additional \$1 million from the General Fund Budget Stabilization Reserve was paid from the EDD operating fund and used to provide additional culture and arts non-profit relief. Also, the 2022 expenditures from CARES and ARPA funding were distributed to qualifying applicants through third-party administrators, the Long Center and the Better Business Bureau of Austin, Texas.

Exhibit 2: Cultural arts expenditures by source for fiscal years 2018 – 2023



Source: OCA analysis of expenditure data provided by EDD, June 2024

The TEMPO Program provides funding to local artists for temporary public art installations on City-owned property.

Cultural arts administrative costs: According to information provided by EDD staff, administrative costs for fiscal years 2018 through 2023 ranged between 4.9% and 8.4% of the total expenditures shown in Exhibit 2. Most of the administrative costs were for EDD staff salaries. The rest went to other non-grant expenses like marketing, software licenses, facility maintenance, the PARD Artist Access program, and the TEMPO program. Also, the third-party administrators of ARPA and CARES funding receive a 4.5% fee to administer the funds. A full list of administrative costs can be found in Appendix A.

Question 2

What are eligible expenses and criteria for cultural arts funds under federal and state law as well as City Code?

As noted above, most of the funding for the City's cultural arts comes from the City's HOT revenue. The City of Austin Code states that the City's HOT revenue may be used only as provided by Texas State law.

The state of Texas allows cities to use revenue from HOT to promote culture and art. Texas State Code, Section 351.101, establishes a two-part test that cities must meet for any expenditures of HOT revenue collected:

1. Every expenditure must directly enhance and promote tourism and the convention and hotel industry. However, the state does not provide a formula for determining the level of impact an event must have to satisfy this requirement.
2. Every expenditure must fit into one of the statutorily authorized categories for expenditure of local HOT revenues. One of those categories is "[e]xpenditures that promote cultural and fine arts." However, to meet the two-part test, these expenditures must also directly promote tourism and the convention and hotel industry.

State law and City Code provide specific examples of allowed expenses related to the encouragement, promotion, improvement, and encouragement of arts. These include expenses for "instrumental and vocal music, dance, drama, folk art, creative writing, architecture, design and allied fields, painting, sculpture, photography, graphic and craft arts, motion pictures, radio, television, tape and sound recording, and other arts related to the presentation, performance, execution, and exhibition of these major art forms."

The City of Austin also established a detailed list of allowed expenses for each of its current culture and arts programs (Thrive, Nexus, and Elevate). Generally, allowable expenses are similar across the three programs. They include costs incurred in the preparation and implementation of cultural activities that are open to and marketed to tourists including:

- Administrative expenses & artist fees
- Travel for visiting artists
- Space and equipment rentals
- Production costs
- Supplies and materials
- Marketing and promotion expenses
- Insurance costs
- Fiscal sponsor fees, if applicable, & other contract management costs
- Licensing fees or subscriptions for software needed for the implementation of contracted activities

Allowable expenses that are unique for the Thrive program include:

- Capital expenditures, which includes, but are not limited to, the purchase, repair, or renovation of equipment or property like speaker systems, theater seats, and artwork. However, the City requires any single capital expenditure over \$2,000 to be pre-approved by a City staff contract administrator.
- Costs related to improving the organization's ability to produce cultural events.

Eligible expenses and criteria for grant-funded programs: The City of Austin used money from a federal National Endowment for the Arts (NEA) grant for local arts agencies to create a sub-granting program called the Arts Education Relief Grant. In 2023, the City received approximately \$500,000 from this grant. Exhibit 3 shows both the federal eligibility criteria for the City to receive these funds as well as the City's criteria for non-profits to apply for the Arts Education Relief Grant funding.

Exhibit 3: Federal and City of Austin eligibility criteria for NEA-funded grant money

NEA criteria for local art agencies	City of Austin criteria for Arts Education Relief Grant
• Arts-focused non-profit, tax-exempt 501(c)(3) organizations • Units of state or local government • Federally-recognized tribal communities or tribes • Applicants may be arts organizations, local arts agencies, arts service organizations, local education agencies, and other organizations that can help advance the NEA's goals	Arts education-focused 501(c)(3) non-profit organizations providing arts education services: • Primarily serve participants from early childhood through 18 years • Must be located and operating in the Austin metropolitan statistical area • Must have at least a one-year operating history • Majority of applicant's activities must be within the Austin city limits

Source: OCA analysis of federal and City requirements for use of the Arts Education Relief Grant, June 2024

The City established eligibility criteria for each of its 2023 culture and arts programs (Thrive, Nexus, Elevate, and Arts Education Relief Grant). Appendix B shows a summary of the eligibility criteria for each of the programs.

Question 3

What information does the City of Austin collect about applicants for cultural arts grant funding? What is the profile of applicants for this funding based on available information?

Economic Development Department staff collect both personal and organizational information from the culture and arts program applicants as shown in the bulleted list. The information collected is generally similar across the programs with a few exceptions.

- Applicant name, contact information, race/ethnicity, gender, and council district
- Business structure including whether the organization is a non-profit, creative business, or individual artist
- Organization/business mission, vision, and address
- Composition of leadership based on race/ethnicity and gender
- Current City funding
- Fiscal sponsor
- Operating budget and how the applicant intends to use the awarded funds
- Artistic discipline/experience
- Primary production history and the proposed public activities
- Community impact (usually a short narrative about the proposed project)
- How the applicant plans to market the proposed activities
- Number of members of the disability community, and number of members of LGBTQIA+ community in leadership*
- Specialized language access accommodations or programming for non-English speaking communities, and accommodations for individuals with disabilities*

* The City did not consistently collect this information during fiscal years 2018 through 2021

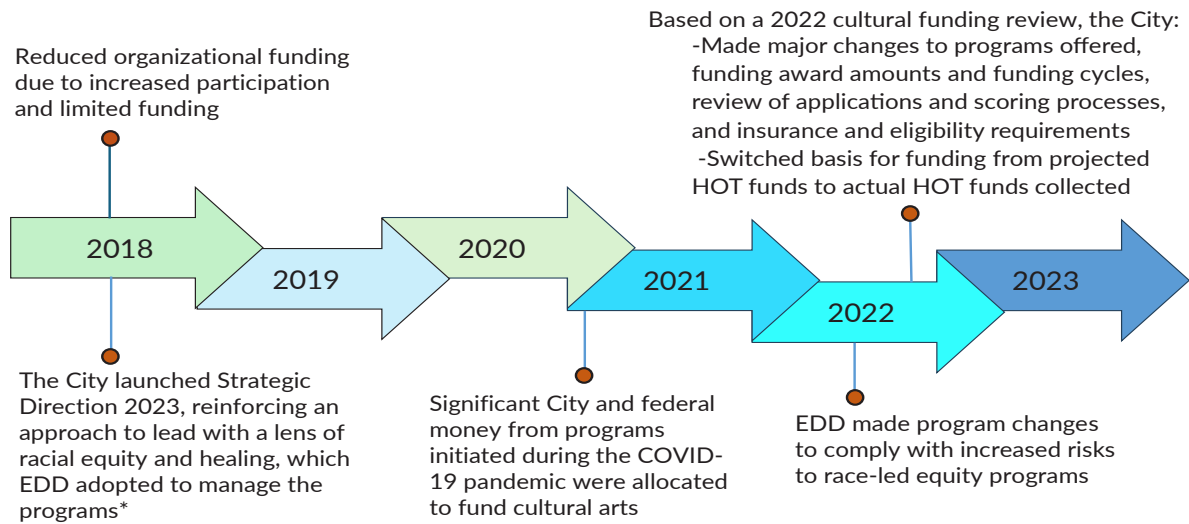
Some information is collected only from a subsection of programs. For example, only Thrive program applicants are required to provide the number of people employed by the applicant (both permanent and contract employees). Also, IRS information is collected for non-profits only. Appendix C shows more detail of information that was consistently tracked for 2023 program participants.

Question 4

What are the major changes in the City of Austin’s cultural arts program?

From fiscal years 2018 to 2023, City management made several key changes to its culture and arts funding program. Changes were made to the programs offered, eligibility requirements, funding amounts and approach, and application review and scoring processes.

Exhibit 4: City management made key changes to the culture and arts funding program since 2018



* For example, EDD started prioritizing organizations that served communities at immediate risk of cultural erasure and displacement, and those that represented communities that experienced other forms of organizational marginalization. Source: OCA analysis of EDD culture and arts funding reports, May 2024

Specific changes made following the City’s 2022 Cultural Funding Review Process: In 2022, City staff reviewed and restructured the cultural funding process, replacing the old culture and arts programs (Community Initiatives, Core, Cultural Heritage Festivals, and Capacity Building) with three new pilot programs (Nexus, Thrive, and Elevate). These new pilot programs were launched in fiscal year 2023. The City contracted with a third-party administrator for processing grant agreements and payments for these programs. Staff stated the City widened its focus to include sustainability, not just growth. Also, they changed other aspects of the program including funding, eligibility requirements, and the panel review process. Exhibits 5 and 6 show funding and eligibility changes.

Exhibit 5: Funding changes across all pilot programs

Initial process	Changes made
Matching funding requirement	Requirement removed for all programs
Fiscal sponsorship was mandatory for some programs	Requirement removed for all programs
Program awards based on applicant’s existing budget	Requirement removed for all programs
The City used projected HOT revenue to determine program awards	The City used actual HOT revenue to determine program awards
The City funded all applicants scoring 75 or higher on a 100-point scale	The City funded the highest-scoring applications until all funds exhausted

Source: OCA analysis of information provided by EDD staff, May 2024

EDD staff noted community and stakeholder engagement informed the changes made through this review process.

Based on the City’s cultural funding guidelines, a “fiscal sponsor” is a non-profit corporation with a 501(c) status who applies for financial support on behalf of another organization or individual. This enables the other organization or individual to receive the benefits of tax-exempt status

Exhibit 6: Applicant eligibility changes across all pilot programs

Initial process	Changes made
Eligibility limited to applicants in Austin or the extra-territorial jurisdiction (ETJ)	Eligibility expanded to applicants from the Austin/Round Rock Metropolitan Statistical Area (MSA), but activities receiving funding must take place within the city of Austin
Non-arts programs were eligible to participate in the programs	Non-arts programs are not eligible to participate in the programs
Individual artists and arts collectives (without 501(c) status) were eligible	Eligibility expanded to any for-profit business structure with a budget of \$500,000 or less (for Elevate) and \$150,000 or less (for Nexus)
Program applications only accepted in one language (English)	Program applications accepted in non-English languages

Source: OCA analysis of information provided by EDD staff, May 2024

Changes related to application panel review process: City management made some changes aimed at improving the applicant panel review process. For example, the City:

- Added formal training components for reviewers, including equity and unconscious bias training, and technical training on how to use the online application system
- Clarified the panel composition and selection process
- Disallowed applicant interaction with the panel
- Made panels virtual instead of in-person
- Video-recorded panel meetings as opposed to audio-recorded
- Added Spanish interpreters
- Added a two-round panel process for fiscal year 2023²

Other program-specific changes: For Nexus applicants, City management waived the insurance requirements. Also, Thrive participants were allowed to spend awarded funds on capital expenditures. However, participants must obtain pre-approval from an EDD program staff member for any capital expenses over \$2,000.

² According to EDD staff, this will not be utilized in future years.

Question 5

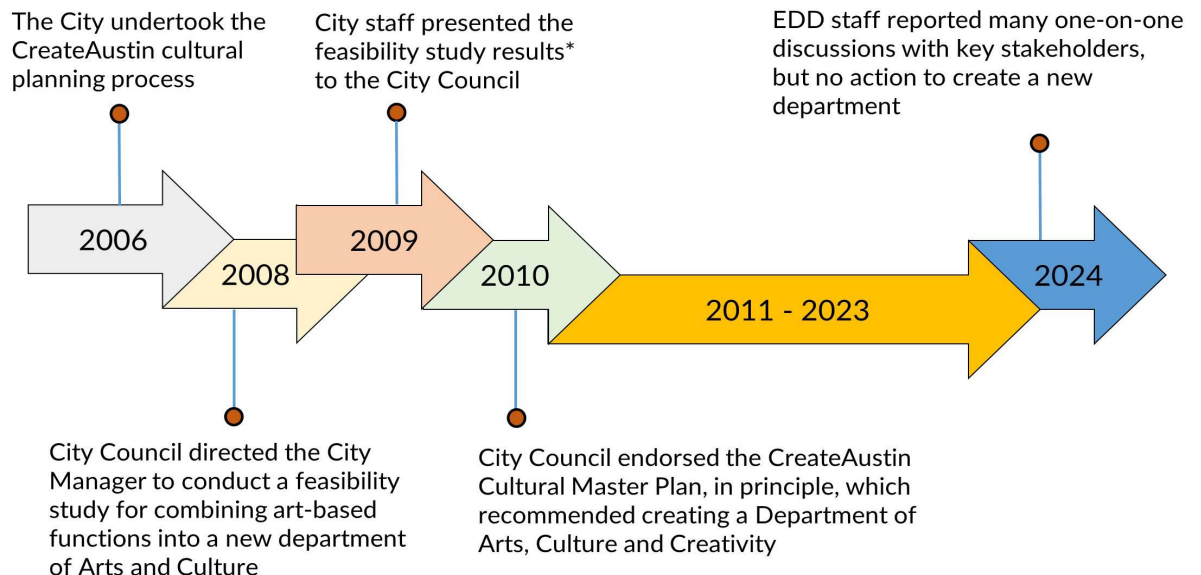
What progress has City management made towards the CreateAustin Plan's recommendation to establish a Department of Arts, Cultural and Creativity?

In 2006, the City of Austin undertook the CreateAustin cultural planning process with community stakeholders to “identify Austin’s creative assets and challenges, define goals, and establish recommendations to invigorate Austin’s ‘culture of creativity’ to the year 2017.” In 2010, Council endorsed the CreateAustin Cultural Master Plan (Plan), in principle. The plan recommended creating a City department for arts and culture and consolidating all arts, culture, music, and film activities into that department. The Plan notes that activities and funds were spread across departments creating a lack of focus, missed opportunities for leveraging City resources, and a lack of a unified vision and coordination. The Plan indicated that creating the department would allow the City to leverage available resources and raise the significance of arts and culture in Austin.

When endorsing the Plan, Council Members gave three directives to the City Manager, one of which was to “[d]irect City staff to continue to explore the coordination of creative enterprise services, programs and resources into an interdisciplinary staff team within the City to ensure effective interdepartmental communication and collaboration of services between the respective creative industries.” This directive followed a 2009 feasibility study by City Manager’s Office staff to explore the creation of a new department of Arts and Culture. This study did not recommend creating a separate department.

EDD staff said that the department has not received an explicit directive to create a separate new department of arts and culture. They noted that there have been many one-on-one discussions between EDD management and other key stakeholders including City Council offices, Arts Commission, and City Manager’s Office. Staff also said that EDD has previously asked City management if there is interest in moving arts and culture out of EDD, but the answer has always been “no.”

Exhibit 7: Timeline of City actions related to CreateAustin’s recommendation to create a Department of Arts, Culture and Creativity



* The feasibility study report recommended creating a separate division within the Economic Growth and Redevelopment Services Office (now EDD) emphasizing the music division alongside the Arts Culture and Creativity Division.
Source: OCA analysis of City documents and information obtained from EDD staff, April 2024

Question 6

Based on the current year, how do cultural arts grant-making programs in other cities compare to Austin's, including their administrative structure, staffing, and funding?

We surveyed culture and arts programs in 10 cities (Dallas, El Paso, Fort Worth, Houston, and San Antonio in Texas as well as Denver, Phoenix, San Diego, San Jose, and Seattle) to collect information about program attributes including administrative structure, funding, and staffing. Programs were similar, but some differed in terms of who manages culture and arts operations as well as how they are staffed and funded.

Administrative structure: In 8 of 11 cities, culture and arts programs are managed through separate departments or offices that have a sole focus on culture and arts. In Austin, the program is managed by the Cultural Arts Division within the Economic Development Department. In Houston, the program is a separate office in the Mayor's Office. This program also works with a third-party partner who has their own staffing resources who help to manage grants and public art programs. In San Jose, the program is managed by a division of their Office of Economic Development and Cultural Affairs (located within the City Manager's office). All the cities have an Arts Commission or board that acts as an advisory body to support the City Council.

In Austin and 4 other cities (San Antonio, Denver, San Diego, and San Jose), other entities such as the Parks, Library, and Aviation departments also manage various programs that have cultural impacts on their cities.

Staffing: Staffing varied among the cities. In Austin and 5 cities, staffing ranged between 8 and 26 staff members (FTEs). Another 5 cities had at least 45 FTEs. However, in those cities, the culture and arts managing entities also oversee cultural facilities.

Funding: We mainly looked at funding flowing through the cities and excluded any other funding that culture and arts organizations received directly from other sources. All the cities have dedicated funding sources that support their programs. The most common source of funding is HOT revenue. Another common funding source is the general fund.

See Exhibit 8 for more detailed information about the culture and arts program attributes among the cities we reviewed.

Exhibit 8: Culture and arts programs in Austin and other cities

City	Managing entity	FTEs	Key source of funding
Austin (TX)	Cultural Arts Division within the Economic Development Department	18	• Hotel Occupancy Tax • 2% Ordinance of COA Capital Improvement Project (CIP) • General Fund – Budget Stabilization Reserve • Pandemic relief funding - ARPA and CARES (<i>One-time funding source</i>) • Federal Grant - National Endowment for the Arts (<i>One-time funding source</i>)
Dallas (TX)	Office of Arts & Culture*	56	• Hotel Occupancy Tax • Capital Bond Program Reimbursement • Municipal Radio Reimbursement
El Paso (TX)	El Paso Museums and Cultural Affairs Department**	51.5	• Hotel Occupancy Tax • General Fund
Fort Worth (TX)	Arts Council of Fort Worth and Tarrant County, d/b/a Arts Fort Worth	14	• General Fund
Houston (TX)	Mayor's Office of Cultural Affairs	26	• Hotel Occupancy Tax • General Fund
San Antonio (TX)	Department of Arts & Culture	24	• Hotel Occupancy Tax • Arts and Entertainment Fund
Denver (CO)	Denver Arts and Venues***	93	• Facility Operations (100%)
Phoenix (AZ)	City of Phoenix Arts and Culture Department	28	• General Fund • National Endowment for the Arts Grants • Percent-For-Art CIP Budget
San Diego (CA)	Department of Cultural Affairs	8	• Hotel Occupancy Tax • CIP and Developer fees • General Fund
San Jose (CA)	San Jose Office of Cultural Affairs, a division of the Office of Economic Development and Cultural Affairs, an office within the City Manager's Office	13	• Transient Occupancy Tax (Hotel Tax) • General Fund • Citywide Operation and Maintenance Funds for City-owned Cultural Facilities • Percent-for-Art Fund (1% on City CIP) • Contributed Grant Funds
Seattle (WA)	Office of Arts & Culture	45.3	• Seattle Admissions Tax (5% Admissions Tax) • City Light – 1% for Art Fund

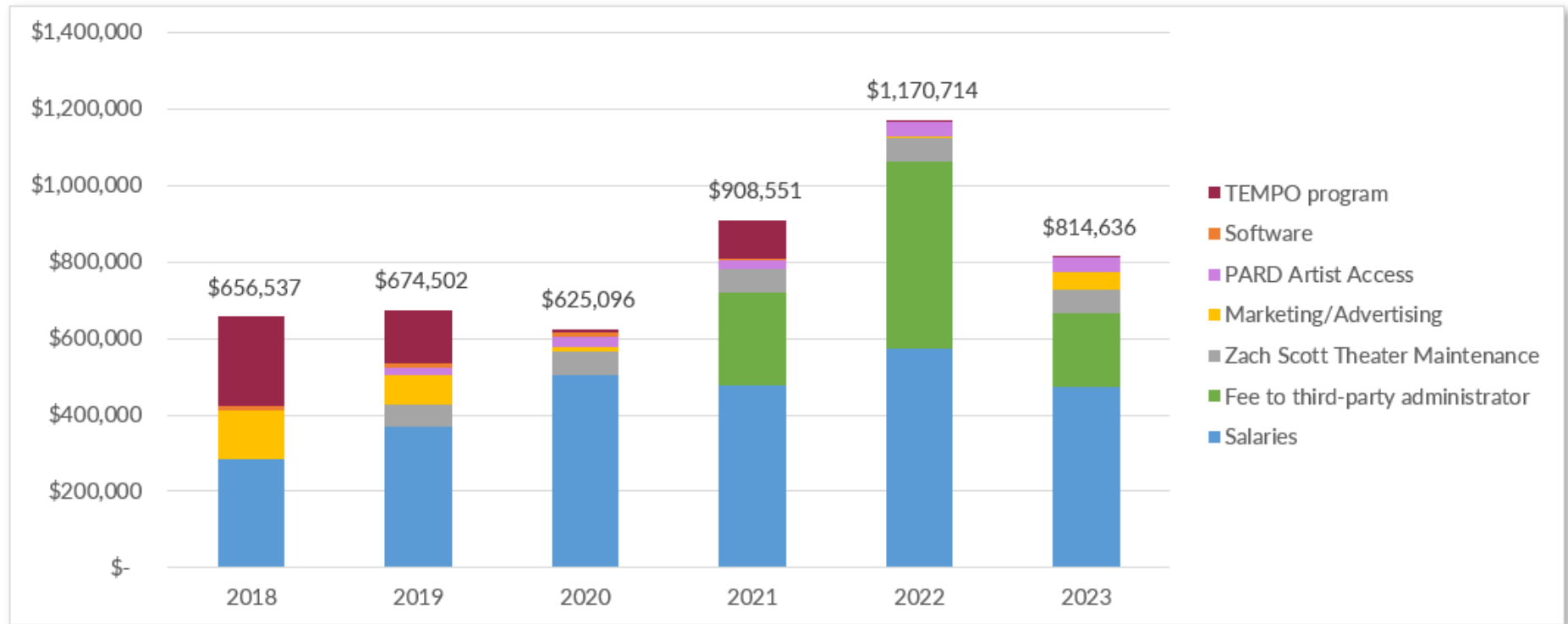
* The Dallas Office of Arts and Culture is the custodian of 19 city-owned cultural facilities

** The El Paso Museums and Cultural Affairs Department oversees City museums

*** Denver Arts and Venues manages some cultural facilities

Source: OCA analysis of cultural arts survey responses from other cities, May 2024

Appendix A - Program and administration expenses for fiscal years 2018 – 2023



	Salaries	Fee to third-party administrator	Zach Scott Theater Maintenance	Marketing/Advertising	PARD Artist Access	Software	TEMPO program	Total
2018	\$286,465			\$123,477		\$12,500	\$234,096	\$656,537
2019	\$367,766		\$60,000	\$75,778	\$21,562	\$8,500	\$140,898	\$674,502
2020	\$504,769		\$60,000	\$10,660	\$29,813	\$8,500	\$11,354	\$625,096
2021	\$478,189	\$242,500	\$60,000	\$1,189	\$21,728	\$3,500	\$101,445	\$908,551
2022	\$571,902	\$490,484	\$60,000	\$6,315	\$35,913		\$6,100	\$1,170,714
2023	\$472,350	\$194,814	\$60,000	\$46,355	\$39,767		\$1,350	\$814,636
Total	\$2,681,440	\$927,798	\$300,000	\$263,774	\$148,783	\$33,000	\$495,242	\$4,850,037

Notes: Values were rounded to the nearest dollar which caused total amounts to be off by a dollar or two in some instances

EDD staff noted the TEMPO amount will increase in 2024 due to a contract with The Trail Conservancy to manage that program

Appendix B: Key eligibility criteria for each of the four City's current arts & culture programs

Category	ELEVATE Grant	NEXUS Grant	THRIVE Grant	NEA*
Applicant Type	An Incorporated, tax exempt, 501(c) arts organization	A 501(c) non-profit arts organization	501(c) non-profit arts organization	This program funds non-profit arts education providers
	A non-501 (c) arts organization (but registered as a non-profit with the Texas Secretary of State Office)			
	Creative businesses with an annual operating budget \$500,000 or less	A creative business		
	An individual aged 18 or older with an annual operating budget \$500,000 or less	An individual aged 18 or older (may apply directly or with a fiscal sponsor)		
	Individual artists with an annual operating budget \$500,000 or less	Applicant's most recently completed fiscal year budget is \$150,000 or less		
Current City Support	Applicants must not be receiving City funding for the same activities in the fiscal year in which they are applying	Applicants who have not already received or are not currently receiving City funding for the same activities in the fiscal year in which they are applying	Applicants must not be receiving City funding for the same activities in the fiscal year in which they are applying	
Production History	One-year of operating history in the cultural sector in the Austin metropolitan statistical area	One year of operating history in the Austin MSA	A minimum of 5 years of operating history in Austin	One year of operating history in the Austin MSA
	Produce public arts/culture activities, within the Austin 10-1 districts and extraterritorial jurisdiction (ETJ)			
	51% or more of the application's creative production is within the Austin 10-1 districts or ETJ	51% or more of the applicant's creative production is within the Austin 10-1 districts or ETJ	51% or more of the applicant's creative production is within the Austin 10-1 districts or ETJ	Majority of applicant's activities must be within the Austin 10-1 districts or ETJ
Geographical	Applicant's address must be in the Austin MSA	Applicant's address must be in the Austin MSA	Applicant's address must be in the Austin MSA	Applicant's address must be in the Austin MSA

* The NEA grant was from a one-time funding source and is not a recurring program
Source: OCA analysis of the City of Austin Program guidelines, April 2024

Appendix C - Profile of applicants who received funding through the City's Fiscal Year 2023 Cultural Arts Program

Participants

In fiscal year 2023 many people and organizations received funding through the City's cultural arts program.

Program	Elevate	Thrive	NEA
Participants	199	36	19

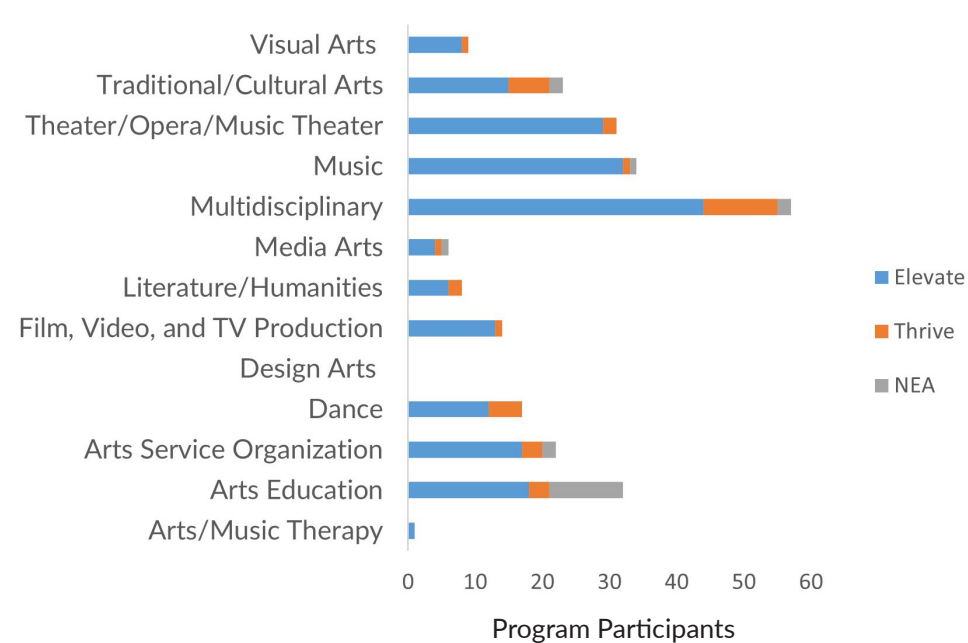
Participants by business structure

Overall, non-profits accounted for most program participants followed by individual participants. Only non-profits were awarded funding through the Thrive and NEA programs.

Participant	Elevate	Thrive	NEA
Corporation	3%		
Individual	12%		
LLC	12%		
Non-profit	63%	100%	100%
Not a legally-formed organization	4%		
Partnership	1%		
S-Corp	1%		
Sole Proprietorship	4%		

Participants by artistic discipline

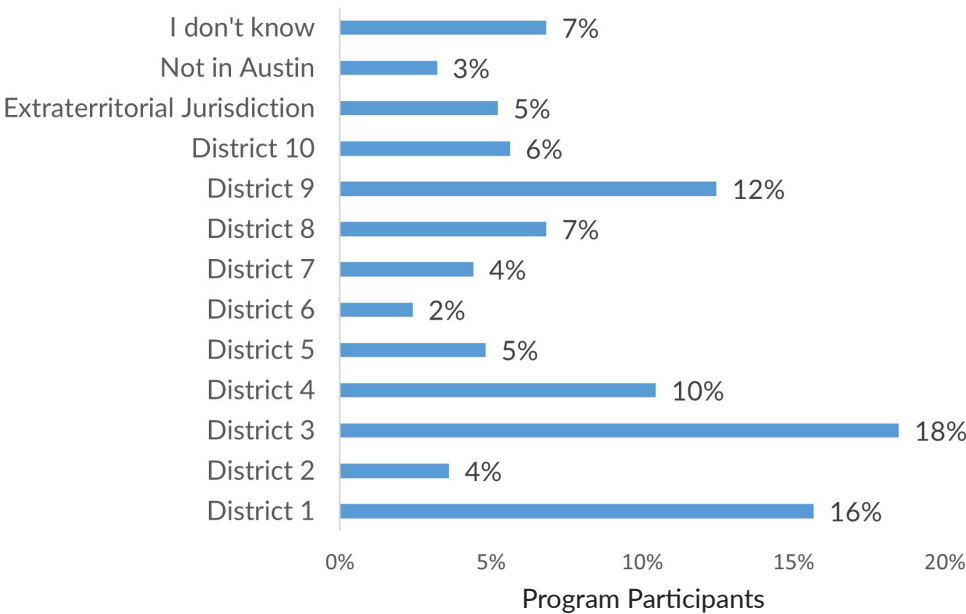
Overall, the Multidisciplinary, Music, Arts Education, and Theater/Opera/Music Theater disciplines had the highest number of participants. The Design Arts and Arts/Music Therapy disciplines had the lowest number of participants.



Appendix C - Profile of applicants who received funding through the City’s Fiscal Year 2023 Cultural Arts Program

Elevate, Thrive, and NEA program participants by Council district

Overall, Council districts three, one, nine, and four had the highest number of program participants that received funding through cultural arts programs.



Source: OCA analysis of the City’s Elevate, Thrive, and NEA cultural arts program reports, April 2024

Why We Did This Report

This report responds to a request from Council Members Zohaib “Zo” Qadri, Vanessa Fuentes, Ryan Alter, José Velásquez, and Leslie Pool.

The request aimed to understand the City’s culture and arts funding process and activities including revenues and expenditures, eligible expenses and criteria, information collected about applicants, changes in the cultural arts program, and how the city’s cultural arts program compares to those in other cities.

Scope

The project scope included the City’s culture and arts funding process and activities during fiscal years 2018 through 2023. The scope also included identifying and surveying other cities with culture and arts programs.

Data Reliability

Question 1 – Revenue and expenditures: Some of the data and expense summaries EDD staff provided included errors and inconsistencies. For example, some values were repeated, and some totals were incorrect. We reviewed and corrected identified errors with EDD. However, this indicates there may be an issue with data reliability or an inadequate internal tracking system.

Question 3 and Appendix C – Profile of program applicants: We did not include profile information for all programs. Based on the records EDD staff provided, we noted some information was not complete or consistently tracked.

Methodology

To complete this special request, we performed the following steps:

- interviewed staff from the Economic Development and Law Departments, culture and arts programs in other cities; and the Vice Chair of the Austin Arts Commission.
- surveyed culture and arts programs in 10 other cities including Dallas, El Paso, Fort Worth, Houston, and San Antonio in Texas as well as Denver, Phoenix, San Diego, San Jose, and Seattle
- reviewed State of Texas and City of Austin rules and regulations about eligible expenses and criteria for cultural arts funding
- reviewed and analyzed data, reports, and presentations generated by the Economic Development Department
- reviewed and analyzed survey information from other cities (Dallas, El Paso, Fort Worth, Houston, and San Antonio in Texas as well as Denver, Phoenix, San Diego, San Jose, and Seattle)

Project Type

This project is not considered an audit. However, this project was conducted in accordance with the ethics, independence, competency, and quality provisions of the Government Auditing Standards.

The Office of the City Auditor was created by the Austin City Charter as an independent office reporting to City Council to help establish accountability and improve City services. Special requests are designed to answer specific questions to assist Council in decision-making. We do not draw conclusions or make recommendations in these reports.

Team

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